**AFRICAN SOLIDARITY CIVIC ORGANISATION (ASCO)**
Registered NPC: 2026/521895/08 | Tax Reference: 9322812265
49 Rif Road, Manor Gardens
Durban, KwaZulu-Natal
4001
info@africansolidaritycivic.org | www.africansolidaritycivic.org



# DONOR DUE DILIGENCE AND ANTI-FINANCIAL-CRIME PROCEDURE

| Document Control | Details |
|---|---|
| Document title | Donor Due Diligence and Anti-Financial-Crime Procedure |
| Document number / reference | ASCO-DON-PROC-003-2026 |
| Version | 1.0 |
| Effective date | 12 October 2026 |
| Approval authority | ASCO Board of Directors |
| Approved by | To be completed in the Board approval register |
| Review date | 16 September 2027 |
| Document status | Final — adoption-ready |
| Owner / responsible function | Executive Director; Finance and Procurement Committee; Board escalation |

ASCO is a South African Non-Profit Company registered under CIPC number 2026/521895/08, with SARS income tax reference 9322812265, and its public address at 49 Rif Road, Manor Gardens, Durban, KwaZulu-Natal, 4001. ASCO is an approved Public Benefit Organisation (SARS PBO Reference No. 930092287). ASCO is approved to issue Section 18A tax-deductible donation receipts effective 9 October 2026, subject to the Income Tax Act, SARS requirements and ASCO's receipt-control procedures. Receipts may be issued only for qualifying donations used solely for ASCO's approved Section 18A public benefit activities.

Updated: 27 October 2026 — SARS PBO and Section 18A approval status harmonised from the approval letter dated 26 October 2026.

The Board governs; Executive Management manages. The Founder/Founding Chairperson, Ms Busisiwe Makhosi Shandu, provides institutional oversight and does not sign, approve, initiate, co-authorise or control ASCO financial documents or transactions. Operational financial authority rests within the Board-approved delegation framework, including the Executive Director, Finance and Procurement Committee and authorised financial signatories.

## 1. Purpose

This proportionate procedure helps ASCO identify and manage fraud, corruption, money-laundering, terrorist-financing, sanctions, prohibited-party, conflict-of-interest, reputational and improper-influence risks without treating ASCO as a bank or financial institution.

## 2. Minimum Due Diligence

- Individuals: name, contact details, country where relevant, purpose and source information proportionate to risk.
- Companies and organisations: legal name, registration or public identity information where relevant, authorised representative, beneficial ownership or controlling persons where relevant, purpose and source information.
- Material or restricted gifts: written agreement, source-of-funds/source-of-assets declaration, restrictions, valuation and approval.
- International gifts: country, payment route, intermediary, purpose and sanctions/restricted-party screening where legally applicable.

## 3. Risk Factors

- Unusual, complex or unexplained payment route; third-party payer; cash or foreign currency without clear rationale.
- Donor refuses reasonable identification or source information.
- PEP, sanctions or restricted-party indicator where legally applicable.
- Adverse information involving fraud, corruption, human-rights abuse, exploitation or reputational harm.
- Demand for secrecy, improper influence, exclusive access, beneficiary selection or governance rights.
- Gift inconsistent with donor profile, stated purpose or the proposed programme.

## 4. Risk Levels and Escalation

| Level | Decision rule | Control | Escalation |
|---|---|---|---|
| Low | No material indicators and ordinary purpose. | Basic identity, register, payment verification and conflict check. | Executive Director. |
| Medium | One or more manageable indicators. | Enhanced documents, written terms, source explanation and committee review. | Executive Director + Finance and Procurement Committee. |
| High | Unresolved legal, crime, sanctions, corruption, | Pause funds and activity; document | Board must approve acceptance or refusal; |

| Level | Decision rule | Control | Escalation |
|---|---|---|---|
| | prohibited-benefit or reputational concern. | assessment; obtain legal advice where needed. | report to authorities where legally required. |

## 5. Procedure

1. Open a due-diligence file linked to the donation reference.
2. Collect proportionate documents and record what was reviewed.
3. Perform conflict, adverse-information and restricted-party checks where appropriate.
4. Assess source, purpose, conditions and donor influence.
5. Document risk rating, rationale, reviewer and approval.
6. Do not use or acknowledge a high-risk donation until resolved.
7. Monitor material donors and restrictions throughout the relationship.
8. Escalate suspicious conduct through the Safeguarding and Complaints Policy, Board channels or competent authorities as appropriate.

## 6. Confidentiality and Data Protection

Due-diligence records are confidential, access-controlled and used only for lawful organisational, regulatory, donor and risk purposes. Do not collect excessive information. Process personal information consistently with the Privacy and POPIA Notice and PAIA Manual.

## 7. Records and Review

The Gift Administrator maintains the assessment; the Executive Director reviews medium-risk files; the Finance and Procurement Committee reviews quarterly; the Board reviews high-risk matters and material trends. Retain the assessment and decision trail with the donation record.

## 8. References

This procedure is risk-based and should be read with applicable South African law, SARS guidance, ASCO's Donations and Refunds Policy, Safeguarding and Complaints Policy, Privacy and POPIA Notice, and Delegation of Authority and Financial Management Policy.

## Approval and Adoption

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This document is complete and adoption-ready. It becomes an approved ASCO operational instrument when adopted through a properly recorded Board resolution or approval register entry. No approval, meeting or signature is represented as having occurred by this document alone.

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| **CHAIR LADY**<br>**Ms. Busisiwe Makhosi Shandu**<br>Signature: _____<br>Date: **2 October 2026** | **DIRECTOR: HEAD OF ICT AND COMMUNICATIONS**<br>**Mr. Thapelo Nelson Maqalika**<br>Signature: _____<br>Date: **2 October 2026** |
| **EXECUTIVE DIRECTOR**<br>**Mr. Bhekisisa Shandu**<br>Signature: _____<br>Date: **2 October 2026** | **DIRECTOR: PEOPLE AND CULTURE / CHAIRPERSON: FINANCE AND PROCUREMENT COMMITTEE**<br>**Mr. Khulekani Gumede**<br>Signature: _____<br>Date: **2 October 2026** |